EG Daily Brief: US tech diplomacy likely to be undermined by fragmented policy approach

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Daily Brief: US tech diplomacy likely to be undermined by fragmented policy approach

US tech diplomacy | US AI governance | Black Sea strikes | MENA Crisis | India protests | Upcoming conference calls | EG in depth

summary

* Although Washington sees promoting US tech abroad as a foreign policy priority, its reactive and fragmented approach is impeding its efforts.
* Washington's drift toward China-style AI governance, including personality-driven enforcement, opaque standard-setting, and proposed government stakes, may erode the US's advantage.
* Russia's Black Sea strikes seek to undermine Ukraine's grain export revenue and to pressure Kyiv to stop its attacks on Russian maritime targets.
* In India, the government is expected to reach a compromise with student-led protesters to end the demonstrations in the capital.
* Regions, countries, and sectors covered in this edition include the US, China, India, Russia, Saudi Arabia, Ukraine, geo-technology, and healthcare.

the top line

US, Geo-technology—Fragmented policies will undermine US tech diplomacy

* The Trump administration's reactive and fragmented approach to tech foreign policy risks undermining its efforts to expand the US tech sector's global reach.

* Although promoting US tech abroad is a foreign policy priority, programs such as the American AI Exports Program and Pax Silica also face serious resource constraints without substantial engagement and commitments from the US government.

* Washington's criticism of allies and their domestic tech priorities will discourage cooperation and alignment, undercutting its international technology and commercial agenda.
* Read more here . Reach out to discuss: geo-technology@eurasiagroup.net .

US, China, AI—Washington’s drift toward China-style governance will test US AI advantage

* In the US, personality-driven enforcement, opaque standard-setting, and proposed government stakes in leading AI labs are introducing a form of state intervention risk that investors once associated only with Chinese platforms.
* Eroding regulatory predictability is weakening the trust advantage US platforms held in global markets, raising investor concerns, and threatening the talent pipeline that underpins US AI leadership, just as China’s models begin to close the capability gap.
* Institutional resistance and industry inertia suggest the system retains enough capacity to self-correct, making a cyclical disruption more likely than a permanent structural shift— though near-term setbacks should not be underestimated.
* Read more here . Reach out to discuss: geo-technology@eurasiagroup.net .

Russia, Ukraine—Black Sea strikes threaten Ukraine grain export revenue

* Russian strikes will likely keep disrupting Ukraine's Black Sea grain exports as Russia retaliates against attacks on its shipping and Ukraine suffers from a shortage of air defense interceptors.
* The strikes against Ukraine’s ports aim to undermine its export revenue, disrupt arms deliveries, and create pressure on Kyiv to stop its own attacks on Russian maritime targets.
* If the disruption lasts, the fallout will be broad:

* Ukraine’s fiscal position is likely to deteriorate as export revenue falls—grain is a key source of foreign currency.
* Global South countries, particularly major grain importers such as Egypt, Algeria, and Indonesia are most vulnerable to any price shock. Russia aims to use higher global food prices to generate diplomatic pressure on Ukraine.

* Read more here . Reach out to discuss: europe@eurasiagroup.net .

Conference call notes: MENA crisis update

* Escalation remains the basecase (a 55% probability), with the US likely to target nuclear and ballistic missile sites while Iran pursues a longer-term strategy through calibrated retaliation and Houthi pressure in the Red Sea.
* Brent is already trading at $95 per barrel, and we expect prices to remain in the $90–$110 range for weeks, with upside risk if energy infrastructure is struck.
* A de-escalation deal is possible but would require a de facto US acknowledgment of Iranian influence over the Strait of Hormuz, a concession that is unlikely at the moment but appears increasingly inevitable.
* Read more here . Reach out to discuss: mena@eurasiagroup.net .

India—Government likely to reach compromise with student-led protesters

* On 20 July, tens of thousands of Gen-Z demonstrators took to the streets in Delhi to protest irregularities in government examinations and demand the resignation of Education Minister Dharmendra Pradhan. The protests are continuing, with sporadic clashes between demonstrators and the police.
* The protests have expanded organically and remain largely leaderless. They reflect disillusionment among India's urban youth over high unemployment, limited opportunities, and corruption. Many young voters see the protests as a demand for government accountability.
* The government was unprepared for the scale of the demonstrations and has opened a dialogue with the protest leaders. Although Prime Minister Narendra Modi does not want to appear to yield to protesters' demands, the government will probably reach a compromise with them. Key watchpoints include Pradhan's resignation, the spread of demonstrations to urban centers beyond Delhi, and support from other social groups for the student-led protests.
* Read more here . Reach out to discuss: southasia@eurasiagroup.net .

Upcoming conference calls

* 27 July 9:30 AM ET—Europe update. Register here .
* 30 July 9:30 AM ET—Brazil update. Register here .

eg in depth

US, Saudi Arabia—Saudi atomic energy deal will survive Congress: The US and Saudi Arabia signed a deal on 21 July for US companies to operate civil energy facilities in the country while enriching uranium stateside. Congress is very unlikely to block the deal, as it requires a two-thirds majority to override a presidential veto. It is not clear whether the deal includes any security guarantees or if it is contingent on Saudi Arabia's accession to the Abraham Accords, involving diplomatic normalization with Israel, as President Donald Trump has indicated. Nevertheless, there is room for Trump to push Riyadh on the matter. Read more here . Reach out to discuss: unitedstates@eurasiagroup.net .

US, Healthcare—Trump's generic drug tariff threat lacks credibility: On 21 July, Trump announced a 100% tariff on imported generic drugs, set to take effect in August 2028. EG doubts that the tariff will materialize and does not expect the administration to impose it on that timeline or at that rate. Instead, Trump is using the tariff threat to pressure drug companies to reshore production; however, it is unlikely generics pharmaceutical firms will be able to undertake any significant production shifts within two years. Broad tariffs on generic drugs would likely be too disruptive to the healthcare system for the administration to follow through. The two-year window gives Trump ample room to withdraw the threat. Read more here . Reach out to discuss: healthcare@eurasiagroup.net .

Upcoming events:

* 24 July: Events: The temporary 10% US global tariff is set to expire unless Congress extends it; Data: US S&P manufacturing PMI.
* 25 July: Events: Maine Democratic Party convention.
* 28 July: Events: Keiko Fujimori to be sworn in as Peru's next president; Data: India industrial production, US wholesale inventories and Conference Board consumer confidence; Central bank decision: Chile.
* 29 July: Events: Microsoft, Meta, and SK Hynix earnings; Data: Russia unemployment, US retail sales; Central bank decision: US.
* 30 July: Events: Apple, Amazon, and Samsung earnings; Data: Eurozone GDP, unemployment, and consumer confidence, US GDP, consumer income, and PCE price index; Central bank decisions: UK and Ukraine.
* 31 July: Events: Chevron, Exxon Mobil earnings; Data: China manufacturing and non-manufacturing PMI, Eurozone CPI, Japan CPI, and US UMich consumer sentiment; Central bank decisions: Colombia and Japan.

The EG Daily Brief is compiled by Jens Larsen, Lucy Eve, Babak Minovi, Pietro Guglielmi, Rahul Bhatia, Marilia Sirio, Joseph Craven, Martina Silva, and Trista Kelley, with help from Marina Tavares, and Astral Betteridge.

closing quip

The United States leads the world in AI innovation, and President Trump will keep it that way."—White House spokesperson Liz Huston told the West Wing Playbook.

Explanation of Political Trajectories (ie, "Trajectories")

Eurasia Group's (EG) Political Trajectories are indicators of the net impact of political factors on the macro business environment in a country over specific timeframes. For each country, two Trajectories are provided, a short-term (6 months) and a long term assessment (24 months). Trajectories are assigned by Eurasia Group's country analysts through a structured qualitative process. Each Trajectory represents a net assessment, indicating how political changes in a country impact the macro business environment, defined as the economic and investment climate in the country. Once initiated, Trajectories are updated both periodically and as events warrant. Trajectories may be suspended from time to time if there is no active analyst opinion or analyst coverage, but the opinion or coverage is expected to resume. Trajectories can be:

Positive: Political factors in the country are anticipated to have a positive impact on the macro business environment

Neutral: Political factors in the country are anticipated to have a neutral or negligible impact on the macro business environment

Negative: Political factors in the country are anticipated to have a negative impact on the macro business environment

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